VISUALIZATION BRIEF

More Companies Less Specialization

A visual story about what company counts do not reveal

1. The question that changes the perspective

Which region is more specialized in accommodation: one with over 4,000 accommodation company-region presences, or one with fewer than 800?

At first glance, the answer might seem obvious. We may assume that the region with the most accommodation companies is also the most specialized. Yet the Veridion data tell a different story.

Santiago records 4,171 accommodation company-region presences, compared with 737 in Aysen. However, accommodation accounts for 20.84% of classified company-region presences in Aysen, versus only 2.17% in Santiago.

The purpose of the visual story is not simply to show two rankings, but to reveal how the interpretation changes when we choose a different measure.

2. Visual one — The surprise

Two horizontal bar charts sit side by side, showing all 16 Chilean regions in the same order. The left panel shows the number of NAICS 721 (Accommodation) company-region presences; Santiago leads with 4,171. The right panel shows Location Quotient (LQ), which compares each region's accommodation share with the reference share across the analyzed dataset.

Aysen leads in relative specialization, with an LQ of 3.69, compared with 0.38 for Santiago. Santiago is highlighted in blue, Aysen in orange, and other regions in grey. A dashed line at LQ = 1 marks the dataset reference level.

Key reveal: the region with the most accommodation companies is not necessarily the region with the strongest relative accommodation specialization.

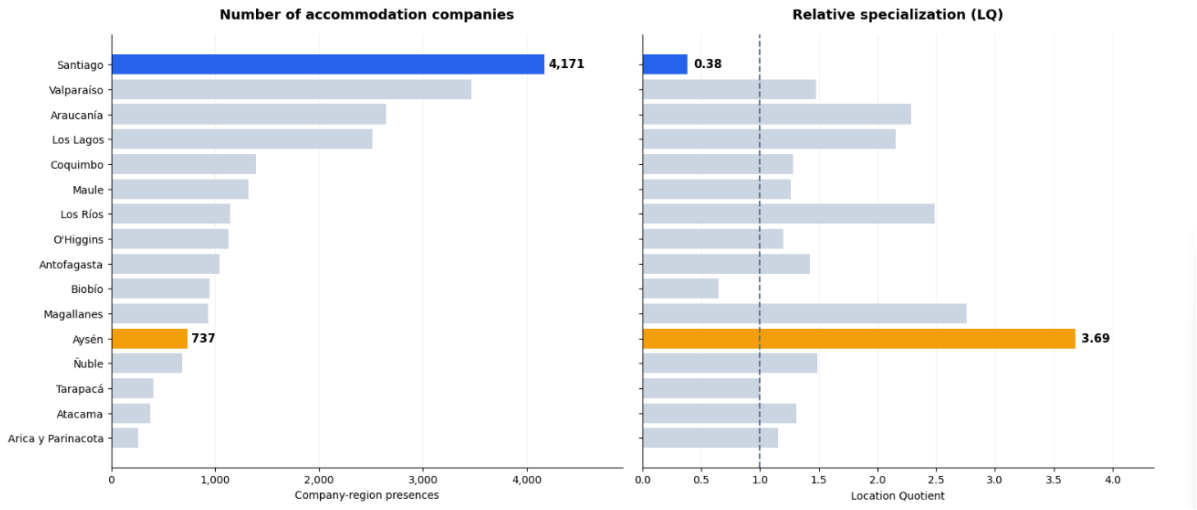


Figure 1. Company-region presences versus LQ across 16 Chilean regions.

3. Visual two — Testing the finding

After the initial surprise, a natural question follows: how stable is the finding? A grouped bar chart compares LQ across five regions—Aysen, Magallanes, Los Ríos, Araucanía and Los Lagos—under three NAICS classification-score thresholds: no additional filtering, ≥ 0.5 and ≥ 0.8.

The scenarios are shown in different shades of blue. Aysen remains first in each scenario, with LQ values of approximately 3.69, 4.07 and 4.05.

Each threshold changes the size and composition of the sample, and the reference share is recalculated. Differences in LQ across scenarios therefore should not be read as changes over time or as proof that one sample is more accurate.

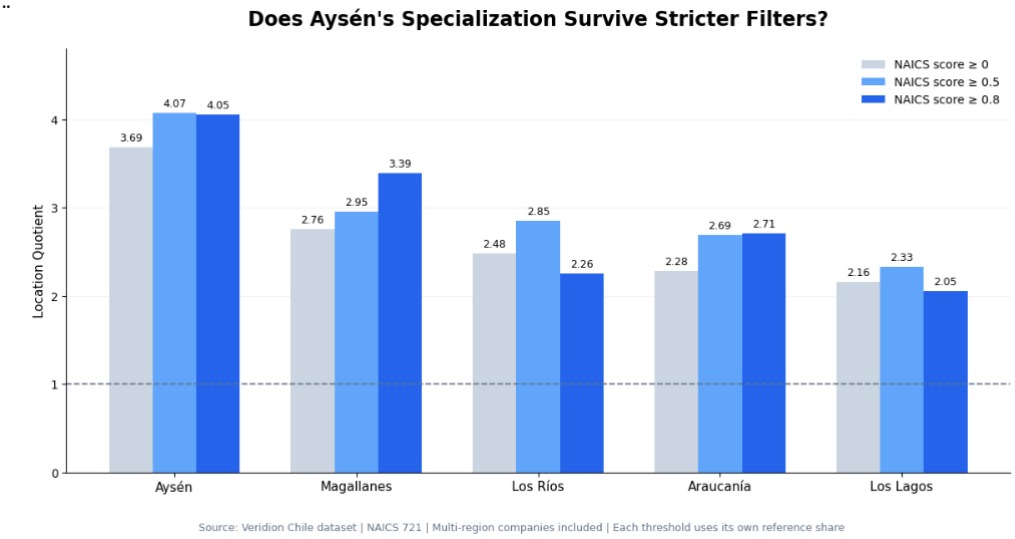


Figure 2. LQ sensitivity to NAICS score thresholds in the five baseline-leading regions

4. Narrative sequence

Expectation — Introduce the question and the absolute counts. Santiago appears to be the clear leader.

Perspective shift — Reveal regional shares and LQ. Aysen emerges as the region with the strongest relative specialization.

Validation — Show the NAICS-score sensitivity tests. Aysen remains first under all three tested thresholds.

Takeaway — Absolute counts and relative indicators answer different questions. Both are needed to understand regional patterns.

5. Audience and design choices

The visualizations are intended for readers interested in company data, regional analysis and economic patterns that are not obvious from raw counts.

A minimalist layout, white background, clear labels and restrained colors keep attention on the comparison. Horizontal bars accommodate regional names; directly labeled key values reduce reading effort. Keeping the regions in the same order across the two panels makes the change in perspective easy to follow.

Optional annotations: “Highest absolute count” next to Santiago and “Highest relative specialization” next to Aysen.

6. Interpretation and limitations

The charts describe the structure of companies represented in the Veridion dataset, not a direct measure of tourism activity or the economic contribution of accommodation.

Companies associated with multiple valid regions are counted once in each region, so the analysis is based on company-region presences. A high LQ does not establish higher revenues, employment or GDP contribution.

Final message: Aysen has the highest relative representation of accommodation company-region presences among the 16 regions analyzed, while Santiago has the highest absolute count. More companies do not always mean greater specialization.